

A \$1.34 Billion Arbitration Award Is a Warning About Joint Venture Capital Stacks

The Honarkar case shows how a promised equity contribution that never arrived can collapse a portfolio.

The most important number in the \$1.34 billion arbitration award to Mohammad Honarkar is not the damages figure. It is the \$30 million equity contribution that never arrived. That promised capital was supposed to stabilize a portfolio of Southern California commercial properties, including Hotel Laguna, after the pandemic compressed cash flows and a \$195 million loan came due.

Instead, the arbitrator found, the joint venture partner used financing secured by Honarkar's own properties to fund a portion of the purported equity. The result: a portfolio in receivership, properties in foreclosure, and a legal award that may be difficult to collect. The case is a stark reminder that in commercial real estate, the capital stack is only as strong as the equity layer.

When that layer is illusory, the entire structure collapses. Honarkar entered the joint venture with Mahender Makhijani and Continuum Analytics in 2021. He contributed interests in multiple commercial properties in exchange for a \$30 million equity contribution and refinancing support. The arbitrator found that the promised capital was not made as represented. Respondents also concealed transaction details, engaged in self-dealing, withheld records, and stopped making mortgage and tax payments on the properties.

The timing matters. Honarkar was under financial pressure following the pandemic and the maturity of a \$195 million loan. That pressure made him vulnerable to a partner who promised liquidity but delivered leverage. The joint venture was structured as a solution to a refinancing problem. In practice, it became a mechanism for transferring control without delivering the capital that control required. For the capital markets, the lesson is not about fraud.

It is about the structural risk embedded in joint venture equity. When a sponsor contributes assets and a partner contributes capital, the sponsor is betting that the capital is real, that it will be deployed as agreed, and that the partner's incentives align with preserving asset value. When any of those assumptions fail, the sponsor loses not just the equity but the assets.

The award itself is among the largest fraud-based judgments involving a Southern California commercial real estate portfolio. But collecting from Makhijani and his affiliates will be difficult. Makhijani has been arrested on a federal complaint alleging he defrauded a bank of nearly \$100 million by manipulating title policies to inflate collateral values. The legal team is working to confirm the arbitration award in court.

The assets that were supposed to generate the recovery are largely in receivership or foreclosure. Who should care? Any sponsor considering a joint venture to solve a refinancing gap. Any lender underwriting a loan secured by assets where the equity partner is not fully vetted. Any investor in funds that rely on joint venture structures to deploy capital.

The case is a reminder that the equity layer is not just a source of capital. It is a source of risk. The broader market pattern is clear. In a cycle where debt is expensive and liquidity is concentrated, sponsors are turning to joint venture equity to fill gaps in the capital stack. That equity is not always what it appears to be. Some partners are credible. Some are not.

The difference is not always visible in the term sheet. The Honarkar case is not a reason to avoid joint ventures. It is a reason to underwrite the equity partner as rigorously as the asset. The capital stack is only as strong as the equity layer. When that layer is a promise, the entire structure is a risk.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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